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Case Number: 25STCV37381 Hearing Date: July 2, 2026 Dept: 729

Superior Court of California

County of Los Angeles

DEPARTMENT

729

TENTATIVE RULING

ARMINE CHAKARDJIAN,

vs.

STATE FARM

INSURANCE COMPANY.

Case No.:

25STCV37381

Hearing

Date: July 2, 2026

Defendant State Farm General Insurance Company's demurrer to Plaintiff

Armine Chakardjian's complaint is sustained as to the 3rd, 4th
and 5th causes of action.

Defendant

State Farm General Insurance Company ("SFGIC") ("Defendant") demurs to

Plaintiff Armine Chakardjian's ("Chakardjian") ("Plaintiff") complaint ("Complaint") as to the 3rd, 4th, and 5th causes of action. (Notice of Demurrer, pgs. 1-2; C.C.P. §430.10(e).)

CRC Violation

CRC, Rule 3.1113 states, in pertinent part:

(d) Length of memorandum

Except in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 15 pages.

...

(e) Application to file longer memorandum

A party may apply to the court ex parte but with written notice of the application to the other parties, at least 24 hours before the memorandum is due, for permission to file a longer memorandum. The application must state reasons why the argument cannot be made within the stated limit.

. . .

(g) Effect of filing an oversized memorandum

A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late-filed paper.

(CRC, Rule 3.1113.)

Plaintiff's opposition is nineteen pages long, in violation of CRC, Rule 3.1113(d). Plaintiff did not apply to this Court ex parte for permission to file an overlong memorandum in violation of CRC, Rule 3.1113(e). The Court in its discretion, will consider Plaintiff's procedurally improper opposition.

Meet and Confer

Before filing a demurrer, the moving party must meet and confer in person, by telephone, or by video conference with the party who filed the pleading to attempt to reach an agreement that would resolve the objections to the pleading and obviate the need for filing the demurrer. (C.C.P. §430.41, emphasis added.)

Defendant's counsel declares that on March 20, 2026, the parties met and conferred telephonically, and the parties were unable to reach an agreement. (See Decl. of Wagner ¶4.) Defendant's counsel's declaration is sufficient under C.C.P. §430.41. Accordingly, the Court will consider Moving Defendant's demurrer.

Background

Plaintiff

filed the operative Complaint on December 23, 2025, against Defendant alleging five causes of action: (1) breach of contract; (2) breach of implied covenant (bad faith); (3) statutory violations/UCL; (4) fraud and misrepresentation; and (5) intentional infliction of emotional distress.[1]

Moving

Defendant filed the instant demurrer on March 24, 2026. Plaintiff filed her opposition on June 18, 2026. Defendant filed its reply on June 25, 2026.

Summary of Demurrer

Defendant demurs to the 3rd cause of action for statutory violations and Unfair Business Practices on the basis that the claim is barred pursuant to *Moradi-Shalal v. Fireman's Fund Insurance Co.* (1988) 46 Cal.3d 287. (Notice of Demurrer, pg. 2.) Defendant demurs to the 4th cause of action for fraud and misrepresentation on the basis that the allegedly fraudulent conduct is not actionable. (Notice of Demurrer, pg. 2.)

Defendant demurs to the 5th cause of action for intentional infliction of emotional distress ("IIED") on the basis that the conduct alleged does not support an IIED claim. (Notice of Demurrer, pg. 2.)

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Insurance Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hospital District (1992) 2 Cal.4th 962, 967.)

Failure to State a Claim

Statutory Violations and Unfair Business Practices (3rd COA)

Enacted in 1959, California Insurance Code §790, et seq., known as the Unfair Insurance Practices Act ("UIPA"), "regulate[s] trade practices in the business of insurance 'by defining, or providing for the determination of, all such practices in [California] which constitute unfair methods of competition or unfair or deceptive acts or practices and by prohibiting the trade practices so defined or determined.'" (Association of California Ins. Cos. v. Jones (2017) 2 Cal.5th 376, 386.)

In *Moradi-Shalal v. Fireman's Fund Insurance Co.* (1988) 46 Cal.3d 287, the California Supreme Court overruled *Royal Globe Insurance Co. v. Superior Court* (1979) 23 Cal.3d 880, 884, and held that the UIPA only contemplates "administrative enforcement" since, in its legislative history, "no mention was made of a possible private civil remedy." (*Moradi-Shalal*, 46 Cal.3d at pg. 300.) The *Moradi-Shalal* Court reasoned: "the fact that neither the Legislative Analyst nor the Legislative Counsel observed that the [UIPA] created a private

right of action is a strong indication the Legislature never intended to create such a right of action.” (Id.) Thus, “[n]either section 790.03 nor section 790.09 was intended to create a private right of action against an insurer that commits one of the various acts listed in section 790.03, subdivision (h).” (Id. at pg. 304.) The California Supreme Court emphasized that, by overruling *Royal Globe*, it was not granting a license for insurers to violate the UIPA, noting that the Insurance Commissioner has authority to impose “substantial administrative sanctions” on insurers that violate the UIPA, including injunctive relief, fines, and even suspension of the insurer’s license. (Id.)

In the nearly 40 years it has been the law, numerous California courts have confirmed the holding in *Moradi-Shalal*. (See *Zephyr Park, Ltd. v. Superior Court* (1989) 213 Cal.App.3d 833, 834 [“We hold *Moradi-Shalal* determined that [the UIPA] cannot be used as the basis for a private action . . .”]; *Waller v. Truck Insurance Exchange* (1995) 11 Cal.4th 1, 35 [the UIPA “confers no private right of action for damages”]; *Zhang v. Superior Court* (2014) 57 Cal.4th 364, 369 [“Private UIPA actions are absolutely barred; a litigant may not rely on the proscriptions of section 790.03 as the basis for a UCL claim.”].) Further, civil actions based on violations of UIPA regulations are barred as well. (See *City of Hollister v. Monterey Insurance Co.* (2008) 165 Cal.App.4th 455, 488 [“violations of the fair claims practices regulations do not give rise to a private right of action”]; *Vulk v. State Farm General Insurance Co.* (2021) 69 Cal.App.5th 243, 261-262 [applying the rule in *Moradi-Shalal* to alleged violations of UIPA regulations].)

The California Supreme Court’s opinion in *Zhang v. Superior Court* (2014) 57 Cal.4th 364, clarified its ruling on a UIPA claim in the form of a UCL claim. In *Zhang*, the plaintiff sued California Capital Insurance Company (“CCIC”) in connection with an insurance coverage dispute involving a commercial liability policy. Besides claims for Breach of Contract and Bad Faith, the plaintiff sued CCIC for violation of the UCL, arguing CCIC had “engaged in unfair, deceptive, untrue, and/or misleading advertising” when it promised to promptly pay claims. (*Zhang*, 57 Cal.4th at pg. 369-370.) The trial court sustained a demurrer to the UCL claim without leave to amend, determining it was impermissible for the plaintiff to “plead around” the holding in *Moradi-Shalal* that there is no private right of action under the UIPA. (Id. at pg. 370.) The Court of Appeal reversed, holding that the plaintiff’s false advertising claim was a viable basis for her UCL

cause of action. (Id.)

On review, the California Supreme Court affirmed the Court of Appeal's ruling. The California Supreme Court held that Moradi-Shalal does not preclude first party UCL actions based on grounds independent from Insurance Code §790.03, even when the insurer's conduct also violates Insurance Code §790.03. (Id. at pg. 369.) The California Supreme Court noted that "while a plaintiff may not use the UCL to 'plead around' an absolute bar to relief, the UIPA does not immunize insurers from UCL liability for conduct that violates other laws in addition to the UIPA." (Id. at pg. 369.) The Zhang Court clarified the actions available for a private party:

Here, plaintiff alleges causes of action for false advertising and insurance bad faith, both of which provide grounds for a UCL claim independent from the UIPA. Allowing her also to sue under the UCL does no harm to the rule established in Moradi-Shalal. The Moradi-Shalal court made it plain that while violations of section 790.03(h) are themselves not actionable, insureds retain other causes of action against insurers, including common law bad faith claims. Furthermore, UCL actions by private parties are equitable proceedings, with limited remedies. They are thus quite distinct from the claims for damages with which Moradi-Shalal was concerned.

(Id.)

A plaintiff's inability to circumvent Moradi-Shalal by relying on the UCL applies equally to claims based on alleged violations of UIPA regulations. In *Vulk v. State Farm General Insurance Company* (2021) 69 Cal.App.5th 243, a plaintiff filed suit alleging State Farm was liable under the UCL for "intentionally or negligently underinsuring [plaintiff's] home." (Id. at pg. 252.) Plaintiff claimed

that State Farm's use of a software program to prepare replacement cost estimates used in underwriting violated UIPA regulations governing such estimates. (See id. at pgs. 250, 260-261.) The trial court granted summary judgment on the UCL claim. (Id. at pg. 259.) The appellate court affirmed,

holding the UCL claim “fails as a matter of law to the extent it is predicated on acts prohibited by the UIPA.” (Id. at pgs. 261-262, citing Zhang, 57 Cal.4th at pg. 384.)

Plaintiff’s third cause of action for Statutory Violations and Unfair Business Practices seeks to directly impose liability on Defendant for alleged violations of UIPA. (See Complaint ¶¶53.a.-53.d.) Plaintiff also seeks to directly impose liability on Defendant for violations of several regulations adopted pursuant to authority granted by the UIPA. (See Complaint ¶¶53.e.-53.i.) Based on these alleged “statutory violations,” Plaintiff argues Defendant is liable for “unlawful, unfair, and fraudulent business practices under [the UCL].” (Complaint ¶55.)

Plaintiff’s allegations fall into the category of causes of action that are barred by Moradi-Shalal, which was expressly rejected in Zhang. (Zhang, 57 Cal.4th at pg. 369 [“a plaintiff may not use the UCL to ‘plead around’ an absolute bar to relief”].) Plaintiff argues in her opposition that the “linchpin” of her allegations is that “Defendant engaged in fraudulent practices by misrepresenting the scope of coverage and concealing inspection findings.” (Opposition, pg. 7, citing Complaint ¶55(c).) Plaintiff’s cause of action is not alleged as a cause of action for false advertising or insurance bad faith (not based on violations of UIPA) for conduct in which “members of the public are likely to be deceived.” (In re: Insurance Installment Fee Cases (2012) 211 Cal.App.4th 1395, 1416.)

Here, Plaintiff’s claims based on Defendant’s failure to provide her with the SeekNow report from a roof inspection (see Complaint ¶¶22-23, 25, 27) are not alleged in the context that “members of the public are likely to be deceived.” Plaintiff’s allegations that Defendant misrepresented to her the purpose of \$3,280 payment (see Complaint ¶24) and that Defendant rejected Plaintiff’s numerous requests for Defendant to reinspect the property fail for this reason as well.

Accordingly, Defendant’s demurrer to Plaintiff’s 3rd cause of action is sustained with 20 days leave to amend.

Fraud and Misrepresentation (4th COA)

"The elements of fraud are (1) the

defendant made a false representation as to a past or existing material fact;

(2) the defendant knew the representation was false at the time it was made;

(3) in making the representation, the defendant intended to deceive the

plaintiff; (4) the plaintiff justifiably relied on the representation; and (5)

the plaintiff suffered resulting damages."

(West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780,

792.) A "casual expression of belief" is

an opinion, not an "actionable misrepresentation." (See Vega v. Jones, Day, Reavis & Pogue

(2004) 121 Cal.App.4th 282, 291.)

"A plaintiff asserting fraud by misrepresentation

is obligated to . . . 'establish a complete causal relationship' between the alleged

misrepresentation and the harm claimed to have resulted therefrom." (OCM Principal Opportunity Fund, L.P. v.

CIBC World Markets (2007) 157 Cal.App.4th 835, 864.) "The causation aspect of actions for damages

for fraud and deceit involves three distinct elements: (1) actual reliance, (2)

damage resulting from such reliance, and (3) right to rely or justifiable

reliance." (Beckwith v. Dahl

(2012) 205 Cal.App.4th 1039, 1063, quoting Younan v. Equifax Inc. (1980)

111 Cal.App.3d 498, 513.) "Thus, there

are two causation elements in a fraud cause of action. First, the plaintiff's actual and justifiable

reliance on the defendant's misrepresentation must have caused him to take a

detrimental course of action. Second, the detrimental action taken by the plaintiff

must have caused his alleged damage." (Id.

at pg. 1062.)

Plaintiff alleges that Defendant, through

its agents and adjusters, knowingly made false representations and concealed

material facts regarding the scope of coverage and the basis for claim

decisions: (a) On or about April 3, 2025, adjuster Jaine West told Plaintiff

that the house was clean and she did not see any damage; (b) On or about June

5, 2025, adjuster Patricia emailed Plaintiff stating that roof damage had been

addressed via a \$3,280 payment, when in fact the payment was solely for

cleaning; (c) On or about July 10, 2025, adjuster Tash Wright left a voicemail

for Plaintiff falsely stating that no wind damage was found on any slope of the

roof, and on July 15, 2025 reiterated the same misrepresentation via email

despite the roof's visible deterioration and contrary findings from inspection

images and independent experts; (d) On or about May 12, June 5, July 10, and

July 15, 2025, Defendant's adjusters concealed the complete results of its own commissioned SeekNow roof inspection report, refusing to disclose the full findings to Plaintiff or her representatives, instead providing only photographs that supported a claim denial and disclosing only results favorable to denial, and Defendant falsely claimed the complete report was "proprietary"; and (e) On or about September 8, 2025 adjuster Tash Wright further misrepresented that the water intrusion required a separate claim filing subject to an additional deductible because the dates of loss were different. (Complaint ¶59.)

Plaintiff alleges that she justifiably relied on Defendant's representations and concealments by not initially pressing for immediate roof repairs or accepting that Defendant would not cover damage allowing the water intrusion to worsen, as Defendant possessed superior knowledge of the claim file, inspection results, and policy provisions, and Plaintiff was entitled to rely on her insurer's statements. (Complaint ¶60.)

Nevertheless, Plaintiff fails to allege how Plaintiff's reliance on Defendant's allegedly fraudulent conduct proximately caused Plaintiff to suffer damages. Plaintiff must show "a cause and effect relationship between the fraud and damages sought; otherwise no cause of action is stated." (Nagy v. Nagy (1989) 210 Cal.App.3d 1262, 1269.) Here, Plaintiff alleges only that Plaintiff suffered damages, without explanation as to how it was the allegedly fraudulent conduct caused those damages. (Complaint ¶63.)

Accordingly, Defendant's demurrer to Plaintiff's 5th cause of action is sustained with 20 days leave to amend.

Intentional Infliction of Emotional Distress (5th COA)

The elements of an intentional infliction of emotional distress cause of action are: (1) extreme and outrageous conduct is directed at the plaintiff; (2) the intention to cause, or acting in conscious disregard of the probability of causing, emotional distress; (3) severe emotional distress; (4) actual and proximate cause of the emotional distress; and (5) consequential damages caused by the emotional distress. (Christiansen v. Superior Court (1991) 54 Cal.3d 868, 903-905.) A plaintiff "must plead specific facts that establish severe emotional distress resulting from

the defendant's conduct." (Michaelian v. State Fund Comp. Ins. Fund (1996) 50 Cal.App.4th 1093, 1114, citing Bogard v. Employers Casualty Co. (1985) 164 Cal.App.3d 602, 617.)

To be considered sufficiently outrageous, the conduct supporting an IIED claim "must be so extreme as to exceed all bounds of that usually tolerated in a civilized society." (Talice v. Blue Cross of California (1989) 209 Cal.App.3d 878, 883; see e.g., Fletcher v. Western National Life Insurance Co. (1970) 10 Cal.App.3d 376, 397-398 [insurance agent's threatened and actual refusals to pay and threatening communication in bad faith to settle nonexistent dispute]; Alcorn v. Anbro Engineering Inc. (1970) 2 Cal.3d 493, 496-497 [supervisor shouting insulting epithets, terminating employment, and humiliating plaintiff]; Golden v. Dungan (1971) 20 Cal.App.3d 295, 305 [process server knowingly and maliciously banging on door at midnight].)

Courts have held that claims giving rise to a claim for bad faith are insufficient to support an IIED claim. (See Schlauch v. Hartford Accident & Indemnity Co. (1983) 146 Cal.App.3d 926, 936 ["the violation of statutory duties under [the UIPA] does not in itself constitute the type of outrageous conduct which will support a[n IIED] cause of action"].)

Plaintiff alleges that Defendant's conduct included (a) Knowingly withholding inspection reports critical to Plaintiff's ability to understand and pursue her claim; (b) Intentionally concealing parts of the SeekNow report from Plaintiff in order to obscure evidence that supported Plaintiff's claim of damage; (c) Issuing inadequate payments limited to cleaning costs while ignoring visible roof damage and resulting water intrusion; (d) Reassigning the claim multiple times without notice, forcing Plaintiff to repeatedly restart communications and endure prolonged delays; (e) Prematurely closing the claim despite ongoing damage and unsafe living conditions; (f) Fabricating Plaintiff's statements in order to justify denial of coverage; and (g) Ignoring Plaintiff's repeated reports of deteriorating living conditions and her family's health concerns. (Complaint ¶167.)

Plaintiff's allegations do not amount to conduct "so extreme as to exceed all bounds of that usually tolerated in a civilized society." While Plaintiff's allegations demonstrate frustration with Defendant's business procedures,

handling errors, and delay in resolving her claim in the midst of emergency, Defendant's alleged conduct is not "extreme or outrageous."

Accordingly, Defendant's demurrer to Plaintiff's 5th cause of action is sustained with 20 days leave to amend.

Conclusion

Defendant's demurrer to Plaintiff's 3rd, 4th, and 5th causes of action is sustained with 20 days leave to amend.

Moving Party to give notice.

Dated: July
_____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court

[1] The Court notes Defendant does not demur to the 1st or 2nd causes of action and only demurs to the 3rd, 4th, and 5th causes of action.